



Dt. 18th January 2017

**The Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
Nairobi**

Dear Sir,

NAIROBI BUSINESS VENTURES UN-AUDITED RESULTS FOR THE SIX MONTH PERIOD ENDED 30TH SEPTEMBER 2016

The board and management of Nairobi Business Ventures ("NBV") wishes to submit the un-audited financial accounts for the 6 months period to 30th September 2016.

The period was an eventful one for NBV as the company was successfully listed on the Growth Enterprises Market Segment (GEMS) of the Nairobi Securities Exchange (NSE) under the guidance of their Nominated Advisor, CBA Capital Limited. The bell ringing ceremony was held at NSE on 21st June 2016. The new status and window provides NBV with a great opportunity to position itself in the market. The Company's performance will henceforth be of interest to new investors and it shall provide a platform for future fundraising initiatives.

During the period, NBV reported a 7.8% growth in sales to Kes 34.6 million compared to Kes 32.1 million the half year ended 30th September 2015. This was despite numerous challenges in the business environment in the country in 2016 owing to an economic slowdown that impacted a majority of retail traders across the country. Profit after tax grew by 5.8% to Kes 1.04 million up from Kes 0.98 million for a similar period in the previous year. NBV management believes that the business will continue to grow and realize the potential of the strategic business model they have adopted.

NBV plans to continue implementation of the expansion strategy by opening up new retail outlets. NBV is also in advanced stages of realizing the strategic goal of setting up a leather shoes and accessories factory in the next few years.

There Board of Directors did not declare a dividend for the period under review.

Yours Sincerely,

A handwritten signature in blue ink, appearing to read 'Vasu N. Abotula', is written over a blue horizontal line.

Vasu N. Abotula
C.E.O

Nairobi Business Ventures Limited.

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Nairobi Business Ventures Limited
Un-Audited Financial Results
For the Period ended 30 September
2016

STATEMENT OF PROFIT OR LOSS

	6 Months to 30 September 2016 Shs	6 Months to 30 September 2015 Shs
Revenue	34,663,639	32,157,546
Cost of sales	<u>(13,483,245)</u>	<u>(12,628,772)</u>
Gross profit	21,180,394	19,528,774
Administrative expenses	(3,617,007)	(3,405,158)
Other operating expenses	<u>(12,888,750)</u>	<u>(9,853,919)</u>
Operating profit	4,674,637	6,269,697
Finance costs	<u>(3,189,189)</u>	<u>(4,866,350)</u>
Profit before tax	1,485,448	1,403,347
Tax (charge)	<u>(445,634)</u>	<u>(421,004)</u>
Profit for the period/year	<u><u>1,039,813</u></u>	<u><u>982,343</u></u>
Earnings Per Share - Shs per share	0.04	0.54

Nairobi Business Ventures Limited
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**STATEMENT OF FINANCIAL
POSITION**

	6 Months to 30 September 2016 Shs	6 Months to 30 September 2015 Shs
CAPITAL EMPLOYED		
Share capital	46,000,000	18,000,000
Capital pending allotment		
Retained earnings	<u>17,081,082</u>	<u>12,600,482</u>
Reserves & Surplus		
Revaluation of Assets	15,802,334	15,802,334
Shareholders' funds	<u>78,883,416</u>	<u>46,402,816</u>
Non-current liabilities		
Borrowings	<u>65,541,703</u>	<u>24,131,694</u>
	<u>144,425,119</u>	<u>70,534,510</u>
REPRESENTED BY		
Non-current assets		
Property and equipment	36,245,677	18,363,657
Intangible assets	<u>9,330,909</u>	<u>10,422,504</u>
	<u>45,576,586</u>	<u>28,786,161</u>
Current assets		
Inventories	83,507,211	77,708,497
Trade and other receivables	42,646,116	28,869,569
Cash and cash equivalents	<u>1,036,166</u>	<u>833,993</u>
	<u>127,189,493</u>	<u>107,412,059</u>
Current liabilities		
Trade and other payables	10,665,665	3,788,445
Borrowings	15,334,034	56,475,059
Tax payable	<u>2,341,261</u>	<u>5,400,206</u>
	<u>28,340,960</u>	<u>65,663,710</u>
Net current assets	<u>98,848,533</u>	<u>41,748,349</u>
	<u>144,425,119</u>	<u>70,534,510</u>

Nairobi Business Ventures Limited
Un-Audited Financial Results
For the Period ended 30 September
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**STATEMENT OF CHANGES IN
EQUITY**

	Ordinary Share capital Shs	Capital pending allotment Shs	Retained earnings Shs	Total Shs
Period ended 30 September 2015				
At start of period	18,000,000	-	11,618,138	29,618,138
Profit for the period	-	-	982,343	982,343
At end of period	18,000,000	0	12,600,481	30,600,481
Period ended 30 September 2016				
At start of period	46,000,000	-	16,041,268	62,041,268
Profit for the period	-	-	1,039,813	1,039,813
At end of period	46,000,000	0	17,081,081	63,081,081

Nairobi Business Ventures Limited
Un-Audited Financial Results
For the Period ended 30 September 2016

STATEMENT OF CASH FLOWS

	6 Months to 30 September 2016 Shs	6 Months to 30 September 2015 Shs
Operating activities		
Cash (used in)/from operations	(17,697,356)	(16,674,629)
Interest paid	(2,728,061)	(4,347,500)
Tax		
Net cash (used in)/from operating activities	(20,425,417)	(21,022,129)
Investing activities		
Cash paid for purchase of property and Equipment	(58,519)	(1,248,491)
Cash paid for purchase of software	0	0
Cash paid for purchase of intangible Assets	0	-
Net cash (used in) investing activities	(58,519)	(1,248,491)
Financing activities		
Proceeds from borrowings:		
-	(927,198)	(697,591)
-	-	-
Repayment of borrowings:		
-	-	-
Share capital	-	-
Cash from share capital introduced	28,000,000	-
Net cash from/(used in) financing activities	27,072,802	(697,591)
(Decrease)/increase in cash and cash equivalents	6,588,865	(22,968,211)
Movements in cash and cash equivalents		
At start of period/year	(20,886,733)	(32,672,855)
(Decrease)/increase	6,588,865	(22,968,211)
At end of period/year	(14,297,868)	(55,641,066)